

Corporate Estate Transfer

A tax-efficient estate planning strategy

Leave your heirs the full value of the shares in your business with an estate planning tool designed to minimize taxes

As a successful business owner and/or shareholder, you may have surplus wealth in your corporation that can be used to generate active or passive income. However, this investment growth is exposed to annual taxation at high rates.

If your spouse is not surviving when you pass away, any dividends from your shares will be taxable to the estate, significantly reducing your legacy.

Multiple layers of tax can add up to a significant erosion of wealth.

The three levels of taxation include:



Capital gains on shares

The value of your shares creates a capital gain in your estate. To pay this significant tax liability, money often needs to be taken from company assets.



Capital gains on assets

If assets are sold in the corporation, the company will need to pay any unrealized capital gains tax.



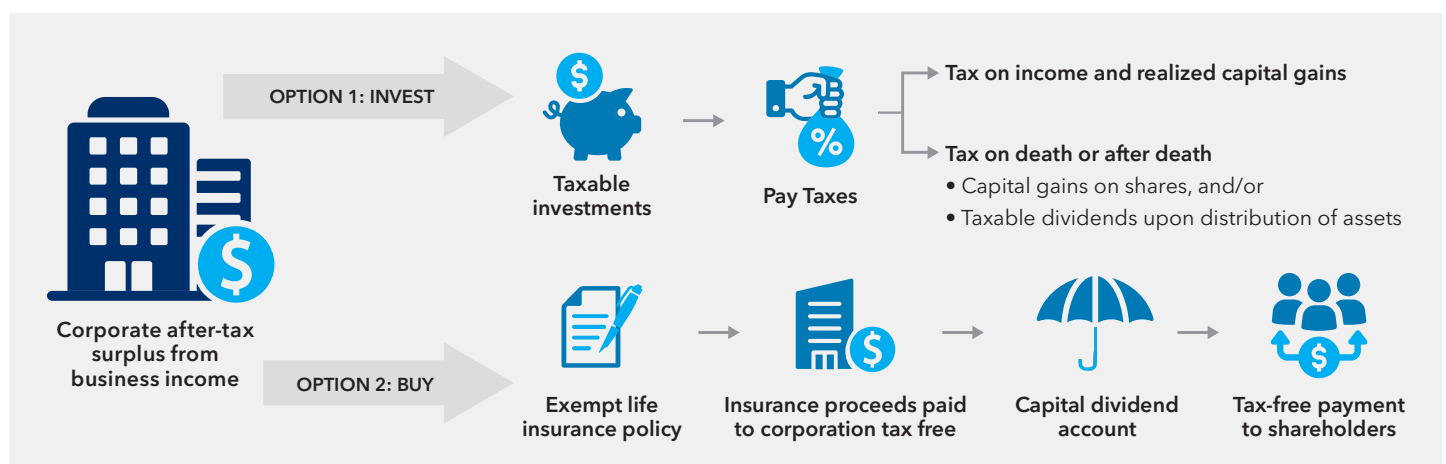
Estate tax

Money taken out of the corporation to pay your estate tax obligation or to be used by your heirs will be paid out as a taxable dividend.

What is Corporate Estate Transfer?

This estate planning strategy is an arrangement in which a company purchases a tax-exempt life insurance policy on the life of the shareholder using corporate funds that are not needed for immediate or future purposes. It accomplishes two goals:

- Reallocates the fair market value of your business and the value of your shares to diminish capital gains taxation in your estate.
- Reduces tax on your estate so your heirs receive funds that would otherwise have to be paid out of the company as a taxable dividend.



How it works

The Corporate Estate Transfer directs a portion of your assets or passive/active income that is not needed for current or future lifestyle needs into a life insurance policy that grows steadily, including policy dividends declared annually.

The life insurance death benefit minus the policy Adjusted Cost Basis (ACB) can be transferred to the Capital Dividend Account (CDA) and will be paid out as a dividend tax-free to your estate to pay for tax obligations or go directly to your heirs.

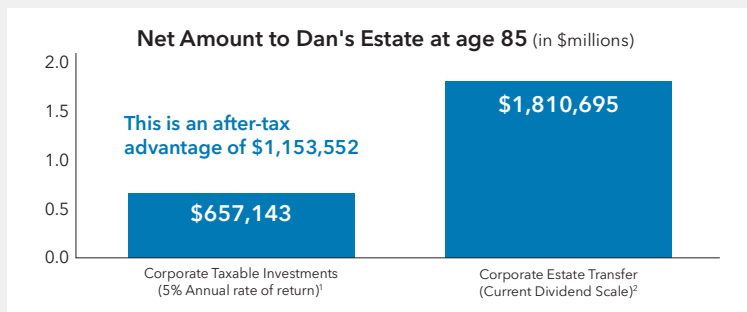
The death benefit is available immediately after issue. No waiting for funds to accumulate in investments. And if you were to cancel, you would receive a generous cash surrender value through dividends.

What does corporate estate transfer look like?

A Case Study

- Dan is 55 and owns a successful land development company which also owns multiple rental properties in his corporation.
- He can allocate \$50,000 of surplus income each year for the next 10 years to address his tax obligations.
- Dan is considering two options:
 - Invest \$50,000 each year for 10 years within his company, or
 - Transfer \$50,000 each year for the next 10 years into a corporately owned life insurance policy using the Corporate Estate Transfer concept.

With a Corporate Estate Transfer, Dan will be able to create a significant after-tax advantage to his estate to look after his tax liabilities allowing all his company assets to remain intact and providing for his family for generations to come.



¹Average annual rate of return of 5%. Taxable corporate investment portfolio (50% Interest and 50% Capital Gains) Passive investment tax rate of 50% and shareholder dividend tax rate of 45%. Assumes Capital Gains are deferred until age 85.

²Co-operators Whole Life Ascend 10 pay with Paid-up additions dividend option. Initial death Benefit of \$702,348, Annual Premium \$50,000 paid for 10 years. Illustrated values are for a Male age 55 non-Smoker in effect on Dec 31, 2023 and the dividend scale at that time remaining unchanged for the life of the policy. Dividend values will vary based on the actual results in the Co-operators Participating account as well as mortality, expenses, lapse, and claims experiences and are not guaranteed.

The Corporate Estate Transfer is for you if:

- ✓ You are the majority shareholder of a Canadian corporation
- ✓ You have passive investments in your company or excess earnings
- ✓ You have an up-to-date retirement plan
- ✓ You need Life Insurance to protect the wealth you have created
- ✓ You want a tax-efficient way to provide an intergenerational wealth transfer

Talk to your Advisor today to develop an estate plan uniquely tailored to your circumstances that will address the taxation of your business.

